Company registration number 10355725 (England and Wales)

SADITA (UK) LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2023

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SADITA (UK) LIMITED

COMPANY INFORMATION

Directors	Mr F S A Alfozan Mr S F S Alfozan
Company number	10355725
Registered office	14 Mannin Way Lancaster Business Park Lancaster LA1 3SW
Auditor	MHA 14 Mannin Way Lancaster Business Park Lancaster LA1 3SW

SADITA (UK) LIMITED

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SADITA (UK) LIMITED

DIRECTORS' REPORT

FOR THE YEAR ENDED 31 DECEMBER 2023

The directors present their annual report and financial statements for the year ended 31 December 2023.

Principal activities
The principal activity during the year continued to be that of a holding company.

Directors
The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr F S A Alfozan
Mr S F S Alfozan

Auditor
Following the merger of MHA Moore & Smalley with MHA, the company's independent auditor has now become MHA. A resolution to reappoint MHA as independent auditor will be proposed at the next Annual General Meeting.

Statement of disclosure to auditor
So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

Small companies exemption
This report has been prepared in accordance with the provisions applicable to companies entitled to the small companies exemption.

On behalf of the board

.....
Mr S F S Alfozan
Director

.....

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2023

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company’s transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF SADITA (UK) LIMITED

Opinion

We have audited the financial statements of Sadita (UK) Limited (the 'company') for the year ended 31 December 2023 which comprise the profit and loss account, the balance sheet, the statement of changes in equity and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2023 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the directors' report has been prepared in accordance with applicable legal requirements.

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the directors' report.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to prepare the financial statements in accordance with the small companies regime and take advantage of the small companies' exemption in preparing the directors' report and from the requirement to prepare a strategic report.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists.

Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The specific procedures for this engagement and the extent to which these are capable of detecting irregularities, including fraud is detailed below:

- Enquiries with management about any known or suspect instances of non-compliance with laws and regulations and fraud;
- Challenging assumptions and judgements made by management in their significant accounting estimates, in particular in relation to the valuation of investments and investment properties within the financial statements, which requires an exercise of management judgement, and in relation to future for both the company and it's associates;
- An evaluation of the risk of management override of controls and subsequent testing, including through testing journal entries and other adjustments for appropriateness;
- Auditing the risk of fraud in revenue, including through the testing of the cut off of income at the year end and reviewing systems and controls for completeness of income; and
- An evaluation of the company's internal control environment.

Because of the nature of the company as an investment vehicle, we identified the following areas as those most likely to have a material impact on the financial statements: compliance with UK landlord legislation, and compliance with the Companies Act.

Because of the inherent limitations of an audit, there is a risk that we will not detect all irregularities, including those leading to a material misstatement in the financial statements or non-compliance with regulation. This risk increases the more that compliance with a law or regulation is removed from the events and transactions reflected in the financial statements, as we will be less likely to become aware of instances of non-compliance. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation.

A further description of our responsibilities is available on the Financial Reporting Council’s website at: https://www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Jenny McCabe
Senior Statutory Auditor
For and on behalf of MHA, Statutory Auditor
Lancaster, United Kingdom

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MHA is the trading name of MacIntyre Hudson LLP, a limited liability partnership in England and Wales (registered number OC312313)

SADITA (UK) LIMITED

PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 31 DECEMBER 2023

	Notes	2023 £	2022 £
Administrative expenses		(890,369)	(330,028)
Other operating income		92,000	89,827
Operating loss		(798,369)	(240,201)
Interest receivable and similar income	**4**	750,068	218,462
Interest payable and similar expenses		(845,987)	(135,118)
Loss on disposal of investments		(246,695)	-
Loss before taxation		(1,140,983)	(156,857)
Tax on loss		-	-
Loss for the financial year		(1,140,983)	(156,857)

SADITA (UK) LIMITED

BALANCE SHEET

AS AT 31 DECEMBER 2023

	Notes	2023 £	2023 £	2022 £	2022 £
Fixed assets					
Investment property	5		2,828,379		2,828,379
Investments	6		3,827,578		3,934,097
			6,655,957		6,762,476
Current assets					
Debtors	8	14,975,592		7,465,141	
Cash at bank and in hand		93,564		4,825	
		15,069,156		7,469,966	
Creditors: amounts falling due within one year	9	(22,333,448)		(13,113,794)	
Net current liabilities			(7,264,292)		(5,643,828)
Total assets less current liabilities			(608,335)		1,118,648
Creditors: amounts falling due after more than one year	10		-		(586,000)
Net (liabilities)/assets			(608,335)		532,648
Capital and reserves					
Called up share capital	11		1,001,000		1,001,000
Profit and loss reserves			(1,609,335)		(468,352)
Total equity			(608,335)		532,648

These financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies regime.

The financial statements were approved by the board of directors and authorised for issue on ..... and are signed on its behalf by:

.....

Mr S F S Alfozan
Director

Company Registration No. 10355725

SADITA (UK) LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital	Equity reserve	Profit and loss reserves	Total
	£	£	£	£
Balance at 1 January 2022	1,001,000	-	(311,495)	689,505
Year ended 31 December 2022:				
Loss and total comprehensive income for the year	-	-	(156,857)	(156,857)
Balance at 31 December 2022	1,001,000	-	(468,352)	532,648
Year ended 31 December 2023:				
Loss and total comprehensive income for the year	-	-	(1,140,983)	(1,140,983)
Balance at 31 December 2023	1,001,000	-	(1,609,335)	(608,335)

1 Accounting policies

Company information

Sadita (UK) Limited is a private company limited by shares incorporated in England and Wales. The registered office is 14 Mannin Way, Lancaster Business Park, Lancaster, LA1 3SW.The operations of the company are facilitated at this address.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 “The Financial Reporting Standard applicable in the UK and Republic of Ireland” (“FRS 102”) and the requirements of the Companies Act 2006 as applicable to companies subject to the small companies regime. The disclosure requirements of section 1A of FRS 102 have been applied other than where additional disclosure is required to show a true and fair view.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary amounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared under the historical cost convention. The principal accounting policies adopted are set out below.

Sadita (UK) Limited is a wholly owned subsidiary of Sadita Holding Company and the results of Sadita (UK) Limited are included in the consolidated financial statements of Sadita Holding Company KSCC, incorporated in Kuwait, which are available from Proteins Building, Sabhan Industrial Area, PO BOX 26332, Kuwait.

1.2 Going concern

The company is a vehicle for its parent company to make investments in the United Kingdom and in the absence of a material income stream, has continued to make accounting losses in the year. Due to the nature of the company and its purpose within the wider Sadita group, it retains the support of the ultimate parent company both financial and strategically, for the long term.

Based on this continued support, at the time of approving the financial statements, the directors have a reasonable expectation that the company as adequate resources to continue in operational existence for the foreseeable future and the ability to pay it's liabilities as they fall due. Thus the directors continue to adopt the going concern basis of accounting in preparing the financial statements.

1.3 Investment property

Investment property, which is property held to earn rentals and/or for capital appreciation, is initially recognised at cost, which includes the purchase cost and any directly attributable expenditure. Subsequently it is measured at fair value at the reporting end date. Changes in fair value are recognised in profit or loss.

1.4 Fixed asset investments

Interests in associates are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

An associate is an entity, being neither a subsidiary nor a joint venture, in which the company holds a long-term interest and where the company has significant influence. The company considers that it has significant influence where it has the power to participate in the financial and operating decisions of the associate.

1 Accounting policies (Continued)

1.5 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors and loans from fellow group companies, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future payments discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

1.6 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of transaction costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1.7 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense. The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

1.8 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

1.9 Leases

Rental income from operating leases is recognised on a straight line basis over the term of the relevant lease. Initial direct costs incurred in negotiating and arranging an operating lease are added to the carrying amount of the leased asset and recognised on a straight line basis over the lease term.

1.10 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation in the period are included in profit or loss.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

Critical judgements

The following judgements (apart from those involving estimates) have had the most significant effect on amounts recognised in the financial statements.

Valuation of investments

The company holds a significant investment in a number of undertakings in which the company has a participating interest, including additional long term loans to these companies. The Directors have made a critical judgement and assessed the valuation of the investments for impairment. The directors have recognised impairment losses in the profit & loss where the investment valuation has been assessed as higher than the deemed valuation.

3 Employees

The average monthly number of persons (excluding directors who are not remunerated) employed by the company during the year was:

	2023 Number	2022 Number
Total	2	2

4 Interest receivable and similar income

	2023 £	2022 £
Interest receivable and similar income includes the following:		
Interest receivable from group companies	750,068	218,462

5 Investment property

	2023
	£
Fair value	
At 1 January 2023 and 31 December 2023	2,828,379

The director's have determined that the fair value of the investment property is not materially different from the total acquisition costs to the completion date. This valuation was made on an open market value basis by reference to market evidence of transaction prices for similar properties.

6 Fixed asset investments

	2023	2022
	£	£
Shares in group undertakings and participating interests	3,827,578	3,934,097

Movements in fixed asset investments

	Shares in associates
	£
Cost or valuation	
At 1 January 2023	3,934,097
Additions	410,606
Valuation changes	(170,430)
Disposals	(346,695)
At 31 December 2023	3,827,578
Carrying amount	
At 31 December 2023	3,827,578
At 31 December 2022	3,934,097

7 Associate undertakings

Details of the company's associate undertakings at 31 December 2023 are as follows:

Name of undertaking	Industry	Class of shares held	% Held Direct
Fidelity Fulfilment Holding Company Limited	Holding company	Ordinary shares	49.00
Eat Mex Group Limited	Food & Beverage	Ordinary shares	49.00
POP'D Ltd	Food & Beverage	Ordinary shares	49.00
Drinkwell Beverages Limited	Food & Beverage	Ordinary shares	49.00

The unaudited turnover and unaudited profit and loss from each company's internal management accounts, which have not been subject to audit, were as follows for the period ended 31 December 2023:

Name of undertaking	Turnover £	Profit/(Loss) £
Fidelity Fulfilment Holding Company Limited	10,519,706	(3,446,078)
Eat Mex Group Limited	23,234,594	446,821
Drinkwell Beverages Limited	2,185,128	(650,333)

The results of POP'D Ltd were not available at the date of reporting.

8 Debtors

Amounts falling due within one year:	2023 £	2022 £
Trade debtors	2,669	2,487
Amounts owed by undertakings in which the company has a participating interest	1,001,363	935,000
Other debtors	4,560	220,696
Prepayments and accrued income	1,000	173
	1,009,592	1,158,356

Amounts falling due after more than one year:	2023 £	2022 £
Amounts owed by undertakings in which the company has a participating interest	13,916,000	6,306,785
Total debtors	14,925,592	7,465,141

9 Creditors: amounts falling due within one year

	2023	2022
	£	£
Trade creditors	-	240
Amounts owed to group undertakings	21,645,883	12,474,237
Other creditors	687,565	639,317
	22,333,448	13,113,794

10 Creditors: amounts falling due after more than one year

	2023	2022
	£	£
Other creditors	-	586,000

11 Called up share capital

	2023	2022	2023	2022
Ordinary share capital	**Number**	**Number**	**£**	**£**
Issued and fully paid				
Ordinary shares of £1 each	501,000	501,000	1,001,000	1,001,000

12 Operating lease commitments

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, as follows:

	2023	2022
	£	£
	41,140	43,680

13 Related party transactions

Transactions with related parties

During the year the company entered into the following transactions with related parties:

	Interest received	
	2023	2022
	£	£
Entities over which the entity has control, joint control or significant influence	750,068	218,462

13 Related party transactions (Continued)

The following amounts were outstanding at the reporting end date:

Amounts due to related parties	2023 £	2022 £
Key management personnel	30	30

The following amounts were outstanding at the reporting end date:

Amounts due from related parties	2023 £	2022 £
Entities over which the entity has control, joint control or significant influence	14,917,363	7,241,786

During the year the amounts owed by related parties of £113,600 (2022: £nil) were wrote off to the profit & loss, relating to entities in which the company held a participating interest.

Other information
In accordance with Section 1AC.35 the company has not disclosed transactions with companies which are within the wholly owned group of which it is a member.

14 Parent company

The parent company and ultimate controlling party of Sadita (UK) Limited is Sadita Holding Company WLL, incorporated in Kuwait.

SADITA (UK) LIMITED

DETAILED TRADING AND PROFIT AND LOSS ACCOUNT

FOR THE YEAR ENDED 31 DECEMBER 2023

		2023		2022
	£	£	£	£
Other operating income				
Rent receivable		92,000		89,827
Administrative expenses				
Wages and salaries	241,986		198,435	
Social security costs	31,052		16,475	
Staff pension costs	2,354		2,154	
Management charges	29,767		31,551	
Rent re licences and other	46,238		14,177	
Rates	59		31	
Power, light and heat	-		(462)	
Property repairs and maintenance	898		200	
Travelling expenses	14,824		14,917	
Professional subscriptions	5,322		1,388	
Legal and professional fees	1,492		29,562	
Accountancy	4,488		8,209	
Audit fees	10,410		9,750	
Recharged bank fees	1,151		1,184	
Bad and doubtful debts	324,736		-	
Insurances (not premises)	1,208		250	
Printing and stationery	10		8	
Advertising	-		104	
Telecommunications	521		-	
Sundry expenses	3,423		2,095	
Impairment losses	170,430		-	
		(890,369)		(330,028)
Operating loss		(798,369)		(240,201)
Interest receivable and similar income				
Interest receivable from group companies	750,068		218,462	
		750,068		218,462
Interest payable and similar expenses				
Recharged bank interest		(845,987)		(135,118)
Other gains and losses				
Amounts written off parent company loan	-		311,100	
Loss on disposal of investments	(246,695)		(311,100)	
		(246,695)		-
Loss before taxation		(1,140,983)		(156,857)